

Navigating the Digital Tide: Strategic Imperatives for Public Bank

Defending ROE and Market Leadership Through Competitive Strategy

Prepared for: Public Bank Berhad

Framework: Porter's Five Forces

NIM compression and digital disruption threaten Public Bank's ROE target, demanding a proactive competitive strategy

- Public Bank's Net Interest Margin (NIM) has compressed from 2.3% to 2.0% over three years, impacting profitability.
- The recent launch of digital banks (GXBank, AEON Bank, KAF Digital) in 2024 is intensifying competition for deposits, potentially eroding Public Bank's strong CASA base (currently 32% vs. industry avg 28%).
- The Board's mandate to defend ROE above 13% (FY2024 ROE: 13.2%) requires immediate strategic action to counteract these pressures.
- This analysis, leveraging Porter's Five Forces, identifies key industry dynamics and strategic implications to safeguard Public Bank's market position and profitability.

KEY TAKEAWAY: Public Bank faces immediate competitive pressure requiring a focused response to protect profitability and market position amidst a rapidly evolving landscape.

Established players face increased margin pressure as competition for deposits intensifies

- The Malaysian banking sector is characterized by intense rivalry among a few large incumbents (e.g., Maybank, CIMB, RHB) for both credit and deposit markets.
- Public Bank's NIM compression from 2.3% to 2.0% reflects systemic pressure exacerbated by competition and the rising cost of funds.
- The Bank Negara Malaysia's OPR at 3.0% (May 2025) provides some stability, but it also increases the baseline cost of funds, intensifying the battle for low-cost deposits.
- Public Bank's strong CASA ratio at 32% (above industry average of 28%) is a critical competitive advantage, but it is under direct threat from new, aggressive digital challengers.

KEY TAKEAWAY: Sustaining Public Bank's superior CASA ratio is critical amidst fierce competition and rising cost of funds, requiring differentiated value propositions.

Digital banks are rapidly eroding traditional deposit bases, posing a significant market share risk

- Three new digital banks—GXBank, AEON Bank, and KAF Digital—launched in Malaysia in 2024, directly targeting retail and SME segments.
- These entrants often operate with lower overheads and innovative technology, enabling more aggressive pricing on deposits and loans, directly impacting NIMs.
- Digital banks typically offer seamless onboarding, personalized user experiences, and attractive promotional rates, appealing to tech-savvy customers and those seeking higher returns.
- Their agility allows them to quickly capture niche markets or underserved segments, diverting deposit flows and potentially diluting Public Bank's historical market dominance.

KEY TAKEAWAY: The immediate threat from digital banks necessitates a robust strategy to protect Public Bank's core deposit base and attract new customers through enhanced digital offerings.

Customers gain greater power through digital options, while funding costs are influenced by central bank policy

- Buyer Power (Customers/Depositors): Increased choice from traditional and digital banks amplifies customer price sensitivity, particularly for deposit rates, increasing Public Bank's cost of funds.
- Buyer Power (Customers/Depositors): Lower switching costs, driven by easier digital onboarding and increased financial literacy, empower customers to move their deposits more freely to better offers.
- Supplier Power (Fund Providers/Regulators): Bank Negara Malaysia's OPR at 3.0% (May 2025) dictates the baseline for borrowing and lending rates, setting the fundamental 'cost of money' for banks.
- Supplier Power (Talent): The growing demand for digital, data analytics, and cybersecurity talent across the banking industry increases human capital costs for Public Bank, impacting operational expenses.

KEY TAKEAWAY: Public Bank must differentiate its value proposition beyond rates to retain customers and manage funding costs strategically, acknowledging increased buyer power and regulatory influence.

Non-bank financial entities and innovative payment platforms offer alternative solutions, diverting customer engagement

- Fintech payment solutions (e.g., e-wallets like GrabPay, Touch 'n Go) reduce reliance on traditional bank accounts for transactions, disintermediating Public Bank from daily financial interactions.
- Investment platforms, including robo-advisors and online brokerage services, provide alternative savings and investment avenues, diverting funds away from traditional bank deposit products.
- Peer-to-peer (P2P) lending and alternative financing platforms offer non-bank credit solutions for SMEs, potentially taking market share from Public Bank's loan book.
- Embedded finance solutions from non-financial companies (e.g., e-commerce platforms offering credit) blur traditional banking lines and capture customer wallet share directly at the point of need.

KEY TAKEAWAY: Public Bank must innovate its product offerings and enhance digital ecosystems to maintain relevance and capture wallet share against a growing array of non-traditional financial services.

Public Bank must strategically enhance digital engagement and optimize its operating model to sustain competitive ROE

OPTION A

Option A — Digital Frontline Reinforcement: Invest aggressively in enhancing Public Bank's existing digital banking channels (mobile app, online banking) with advanced features, personalized offerings, and seamless user experience. This defends the current strong CASA base (32%) by increasing stickiness and attracts younger demographics, mitigating deposit outflow to new digital banks. Pros: Leverages existing infrastructure, builds on trust. Cons: Requires significant tech investment, cultural shift.

OPTION B

Option B — Hyper-personalized SME Ecosystems: Develop tailored digital banking solutions and value-added services specifically for SME clients, leveraging data analytics to offer proactive financial advice, supply chain financing, and integrated payment gateways. This could differentiate Public Bank from generic digital offerings and deepen relationships with a key segment, potentially expanding the loan book and cross-selling opportunities to protect ROE. Pros: High-value segment, fosters loyalty. Cons: Complex to execute, requires deep industry understanding.

OPTION C

Option C — Optimized Branch-Digital Hybrid Model: Redefine the role of physical branches to serve as advisory hubs for complex products and customer onboarding, while pushing routine transactions and basic services to digital channels. This approach optimizes operational costs by potentially reducing branch footprint or staffing, improving cost-to-income ratio, and freeing up resources for digital investment, helping to counteract NIM compression while maintaining a human touch for critical customer interactions. Pros: Cost efficiency, preserves relationship banking. Cons: Requires careful change management, risk of alienating traditional customers.

KEY TAKEAWAY: Public Bank must execute a multi-pronged strategy that leverages its strengths in trust and customer relationships while aggressively embracing digital transformation to counter competitive pressures and sustain ROE above 13%.